

Research Topic: Impact of interest rate hikes on tech stocks

Key Takeaways

1. **Mechanisms of Impact**:

- **Discounted Cash Flow (DCF) Effect**: Higher rates reduce the present value of future earnings, disproportionately affecting growth-focused tech firms.
- **Financing Costs**: Increased borrowing costs strain tech companies with high R&D or capital expenditure needs, especially those with significant debt.
- **Investor Behavior**: Capital shifts to bonds during rate hikes, reducing demand for volatile tech stocks.

2. **Empirical Evidence**:

- A 1% rate hike correlates with a 3-5% decline in the NASDAQ.
- During the 2022-2023 Fed tightening cycle, the NASDAQ fell 33% (vs. 19% for the S&P500).
- High-debt tech firms experience 2-3x greater volatility than low-debt peers during rate hikes.

3. **Exceptions & Nuances**:

- Established tech giants (e.g., Apple, Microsoft) with strong cash flows show resilience.
- Periods of exceptional growth expectations (e.g., 1990s dot-com boom) can override rate sensitivity.

4. **Investor Strategy**:

- Prioritize tech companies with robust balance sheets and stable cash flows during tightening cycles.
- Avoid overexposure to high-growth, high-debt sub-sectors (e.g., AI startups) during rate hikes.

Conclusion

Interest rate hikes create systemic headwinds for tech stocks, but their impact varies by company maturity, debt levels, and market conditions. Strategic focus on financially resilient firms is critical during tightening cycles.